

Next, we move on to the winner subgroups. The realised winner generally does not exhibit strong returns except in the TSM case, where it barely produces an annualised return of 4.4% (significant at the 10% level). The contrarian winner sub-portfolio, which does not produce any significant returns during the 13–24-month period, produces strong positive returns during the 25–36-month period. After the first and second year of the post trend-following holding period, neither time series continuation nor reversal exists.

Conrad and Yavuz (2017) conclude that the realised portfolio, namely realised winners minus realised losers, which contributes to the momentum profits, does not contribute to the 13–24-month reversal. According to our results, this is because the difference between realised winner and realised loser during this period is very small (0.002 for TSM and 0.001 for RSM). Therefore, their returns are offset when one is subtracted one from the other. Conrad and Yavuz (2017) also claim that the contrarian portfolio, namely contrarian winners minus contrarian losers in our case, generates significant returns. Our empirical finding suggests that in our sample this is solely because of the contrarian losers.

If we consider the realised portfolio (realised winner minus realised loser) and the contrarian portfolio (contrarian winner minus contrarian loser), we find that our results are consistent with those of Conrad and Yavuz (2017). The assets that show momentum effect do not display strong long-term reversal, whereas the assets that exhibit reversal do not experience short-term momentum. Therefore, we conclude that time series momentum and reversal are not linked. Our conclusion challenges the unified theory of Hong and Stein (1999) which used a single asset model to illustrate both momentum and reversal. It may indicate that momentum and reversal are two separate phenomena.

To sum up, during the first year of the post trend-following holding period (13–24 months), time series reversal is statistically significant when sub-portfolios are considered. These patterns cease to hold beyond the end of Month 24. The realised winners and the contrarian winners, which are supposed to produce high returns, i.e., with buy signals, no longer earn significant profits after the trend-following holding period. On the other hand, the realised losers and the contrarian losers generate